

Consider another situation where the portfolio manager constructs an optimal portfolio on the efficient investment frontier (EIF) and the decision is implemented using an optimal strategy on the efficient trading frontier (ETF). Many would argue that, since both the portfolio and underlying trading strategy are optimal, the fund is positioned to achieve its maximum performance, and hence, the trading decision is best execution. But this is not necessarily true. Suppose the trader executes the trade list via a passive full-day VWAP strategy. If there is adverse price movement over the day the manager would realize less favorable prices and incur a higher trading cost. If there is favorable price movement over the day the manager would realize better prices and a lower trading cost. Regardless of the actual prices incurred and resulting trading cost, this fund may have been exposed to unnecessary incremental market exposure. And in Markowitz's terminology, this results in lower investor utility. The same situation would hold true for a trader who executes more aggressively than necessary. In this case the fund will incur an unnecessarily high trading cost and again lower investor utility. It is imperative that both investor objectives and trading goals be aligned in order for investors to achieve the targeted level of investor utility.

Portfolio managers and traders are often at odds with each other regarding what constitutes best execution and how a portfolio decision should be implemented. Managers often wish to use the benchmark price that was used in their optimization process. Traders often seek to achieve the price that is being used to measure their performance such as the VWAP price. This results in an inconsistency between the investment objectives and trading goals, and often leads to suboptimal portfolios and lower levels of investor utility. Investors and traders need to partner across all phases of the investment cycle to capture maximum levels of return.

The true magnitude of underperformance is probably understated in the industry even after accounting for market impact and opportunity cost. This is primarily due to the inconsistency across portfolio manager objectives and trader goals. This inconsistency often leads to higher cost and/or higher risk and ultimately lower ex-post investor utility. While alpha decay and transaction costs are often discussed in the literature, the reduction in investor utility is seldom if ever discussed, and this is even more difficult to observe than market impact.

TRANSACTION COSTS IN PORTFOLIO OPTIMIZATION

Transaction costs as part of the portfolio optimization process are not a new concept. There have been many attempts to account for these costs